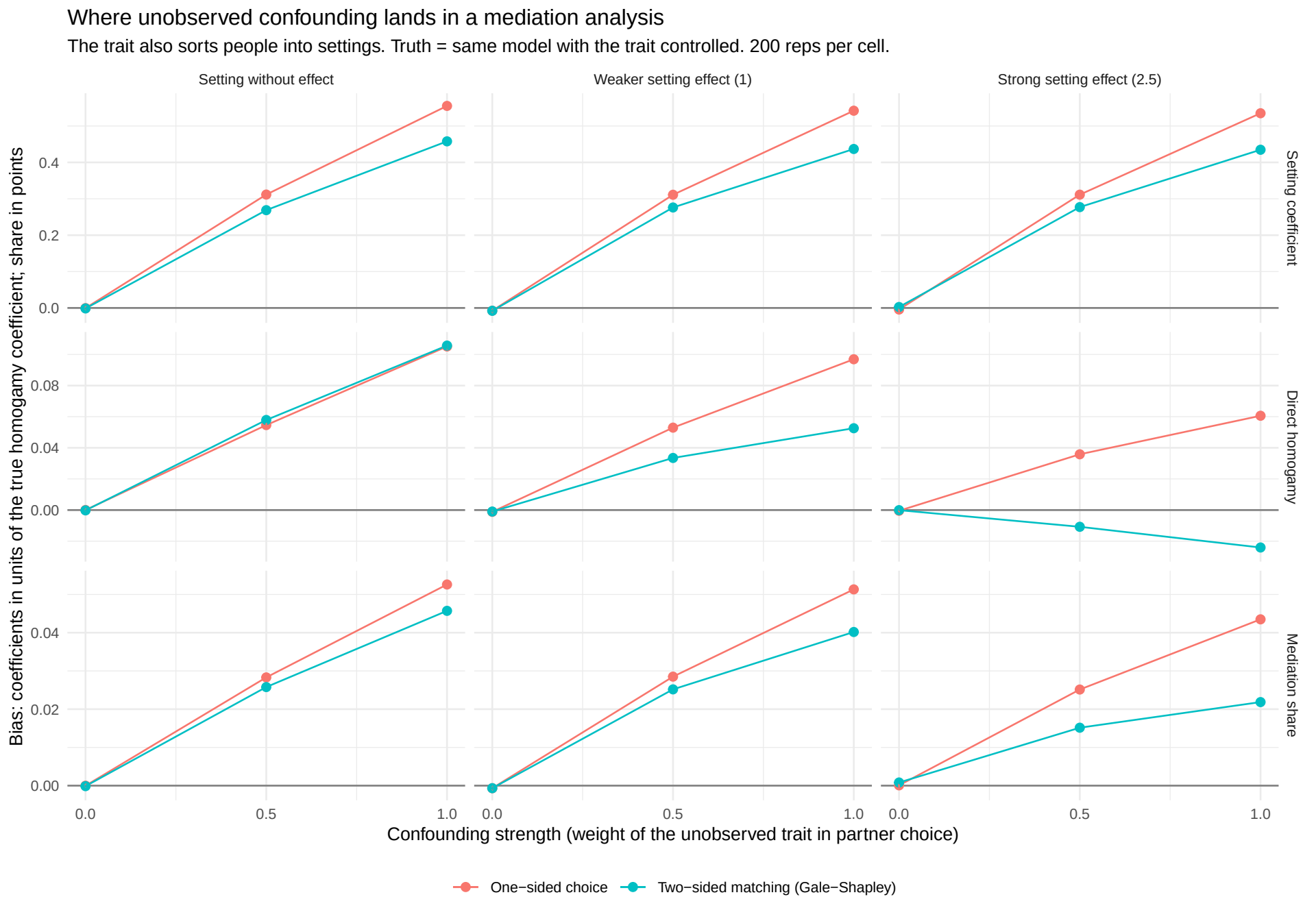
Where unobserved confounding lands in a mediation analysis
The trait also sorts people into settings. Truth = same model with the trait controlled. 200 reps per cell.
Setting without effect
Weaker setting effect (1)
Strong setting effect (2.5)
Setting coefficient
Direct homogamy
Mediation share
Bias: coefficients in units of the true homogamy coefficient; share in points
0.4
0.2
0.0
0.08
0.04
0.00
0.02
0.0
0.5
1.0
Confounding strength (weight of the unobserved trait in partner choice)
One−sided choice
Two−sided matching (Gale−Shapley)